

- 60/40 = 60% Equity (S&P 500); 40% Bonds.

[Table 9.6](#) summarizes the performance statistics for the three versions of the asset allocation system, the Ivy 5, and the buy and hold 60/40 portfolio. Results are shown gross of any transaction or management fees and include the reinvestment of dividends. None of the strategies deploy a risk-management overlay and all the strategies are annually rebalanced to their target weights.

[Table 9.6](#) Strategy Summary Statistics (1/1992–12/2014)

	DIY_BAL	DIY_MOD	DIY_AGG	IVY5	60/40
CAGR	10.92%	12.25%	13.38%	8.23%	9.23%
Standard Deviation	11.53%	12.17%	14.47%	10.48%	8.47%
Downside Deviation (MAR = 5%)	10.20%	10.06%	11.53%	9.42%	6.09%
Sharpe Ratio	0.72	0.79	0.76	0.55	0.77
Sortino Ratio (MAR = 5%)	0.60	0.73	0.75	0.37	0.69
Worst Drawdown	−45.85%	−42.68%	−47.16%	−45.32%	−25.29%
Worst Month Return	−20.43%	−18.37%	−19.69%	−19.48%	−9.50%
Best Month Return	8.33%	8.70%	10.70%	8.59%	7.12%
Profitable Months	67.39%	67.03%	66.67%	66.30%	67.03%

The three asset-allocation models we propose all outperform that Ivy 5 portfolio on a risk-adjusted basis (e.g., as measured by Sharpe and Sortino ratios). This outperformance is driven by the benefits of security selection associated with exploiting the value and momentum effects. On a capital preservation basis, as measured by worst drawdown, the 60/40 portfolio performs the best. This drawdown protection is driven by the 40 percent exposure to long bonds, during a period in which the long bond had